Storage Fleet Analytics: Churn Calibration & 15-Year Valuation

Finance currently models 15-year Customer Lifetime Value (CLV) using a flat 5% annual churn rate assumption across all storage arrays.

In this case study, we:

1. Audit 2,000 telemetry records to test whether that 5% assumption holds against historical data.
2. Benchmark Random Forest and XGBoost using 5-fold cross-validation grouped by account.
3. Project 15-year fleet retention and quantify the dollar impact of churn on CLV.
4. Provide production Snowflake SQL tables and stored procedures for automated scoring.
5. Provide technical handover documentation and runbook specifications.

```
import warnings
import numpy as np
import pandas as pd
import matplotlib.pyplot as plt

from sklearn.calibration import calibration_curve
from sklearn.metrics import brier_score_loss, roc_auc_score
from sklearn.model_selection import StratifiedGroupKFold, cross_val_predict
from sklearn.ensemble import RandomForestClassifier

warnings.filterwarnings("ignore")

# Plot styling (wrapped for clean rendering)
style_name = (
    "seaborn-v0_8-whitegrid"
    if "seaborn-v0_8-whitegrid" in plt.style.available
    else "default"
)
plt.style.use(style_name)
plt.rcParams["figure.dpi"] = 110
plt.rcParams["font.sans-serif"] = ["DejaVu Sans", "Arial", "Helvetica"]
plt.rcParams["axes.edgecolor"] = "#cccccc"
plt.rcParams["axes.linewidth"] = 0.8

print("Environment ready.")
```

```
Environment ready.
```

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1. Data Cleaning & Anomaly Handling

We audited the 2,000 raw telemetry records and addressed four data issues:

- **Negative profit:** 58 arrays had negative profit (down to -$93k). We used a signed log transform to retain negative values while stabilizing tree splits. 36 unprofitable arrays remain in the clean set.
- **Contract end dates:** Normalized future contract dates relative to the snapshot baseline into continuous days remaining.
- **Missing expansion:** Retained 65 arrays with missing expansion as an explicit 'UNKNOWN' category so no records were discarded.
- **Corrupted utilization (>100%):** 862 arrays (43.1%) reported utilization above 100% (some up to 485%) due to firmware telemetry bugs. Dropping them leaves 1,072 clean arrays (16.98% churn); capping them at 100% leaves 1,884 arrays (15.82% churn). Both confirm actual fleet churn is roughly 16% to 17%, more than triple the 5% assumption.
- **Account leakage:** Grouped by account ID in StratifiedGroupKFold to guarantee zero account overlap across training and validation folds.

```
df_raw = pd.read_csv("data/Case_Study_2_CLV_Predictive_Analytics.csv")
df_labeled = pd.read_csv("data/clv_cleaned_labeled.csv")
df_unlabeled = pd.read_csv("data/clv_cleaned_scoring_unlabeled.csv")

raw_neg_profit = (df_raw["historical_15yr_net_profit_usd"] < 0).sum()
clean_neg_profit = (df_labeled["historical_15yr_net_profit_usd"] < 0).sum()

print("Data Cleaning Summary:")
print("-" * 65)
print(f"Raw fleet records ingested           : {len(df_raw):,}")
print(f"Utilization over 100% (telemetry bug): {(df_raw['utilization_rate_pct'] >
1.0).sum():,} rows (43.1%)")
print(f"Negative profit in raw data          : {raw_neg_profit:,} rows
({raw_neg_profit/len(df_raw):.1%})")
print(f"Negative profit in clean partition   : {clean_neg_profit:,} rows
({clean_neg_profit/len(df_labeled):.1%})")
print(f"Clean labeled training partition     : {len(df_labeled):,} arrays")
print(f"Clean unlabeled scoring partition    : {len(df_unlabeled):,} arrays")
print("-" * 65)

# Sensitivity: Filtering vs Capping Utilization > 1.0
raw_over = df_raw[df_raw["utilization_rate_pct"] > 1.0]
raw_normal = df_raw[df_raw["utilization_rate_pct"] <= 1.0]

churn_normal = raw_normal["churn_event_next_12m"].dropna().mean()
churn_over = raw_over["churn_event_next_12m"].dropna().mean()
churn_combined = df_raw["churn_event_next_12m"].dropna().mean()

sens_table = pd.DataFrame({
    "Approach": [
        "Drop >1.0 (Conservative Clean)",
        "Corrupted Rows Only (>1.0)",
        "Cap at 1.0 (Keep All Rows)"
    ],
```

```
    "Rows (N)": [
        len(raw_normal.dropna(subset=['churn_event_next_12m'])),
        len(raw_over.dropna(subset=['churn_event_next_12m'])),
        len(df_raw.dropna(subset=['churn_event_next_12m']))
    ],
    "Observed Churn": [f"{churn_normal:.2%}", f"{churn_over:.2%}", f"{churn_combined:.2%}"],
    "Gap vs 5% Rule": [
        f"{churn_normal - 0.05:+.2%}",
        f"{churn_over - 0.05:+.2%}",
        f"{churn_combined - 0.05:+.2%}"
    ],
    "Notes": [
        "Primary baseline (avoids distorted tree splits)",
        "Telemetry bug subset",
        "Confirms churn stays above 15% either way"
    ]
})

print("\nUtilization Handling Sensitivity Check:")
print(sens_table.to_string(index=False))

# Account leakage check
sgkf = StratifiedGroupKFold(n_splits=5)
for fold, (train_idx, val_idx) in enumerate(sgkf.split(df_labeled,
df_labeled["churn_event_next_12m"], groups=df_labeled["account_id"])):
    train_accs = set(df_labeled.iloc[train_idx]["account_id"])
    val_accs = set(df_labeled.iloc[val_idx]["account_id"])
    overlap = train_accs.intersection(val_accs)
    assert len(overlap) == 0, f"Account leak detected in fold {fold}: {overlap}"

print(f"\nAccount Leakage Check: PASSED (Zero overlapping accounts across all 5 folds).")
```

```
Data Cleaning Summary:
----------------------------------------------------------------
Raw fleet records ingested           : 2,000
Utilization over 100% (telemetry bug): 862 rows (43.1%)
Negative profit in raw data          : 58 rows (2.9%)
Negative profit in clean partition   : 36 rows (3.4%)
Clean labeled training partition     : 1,072 arrays
Clean unlabeled scoring partition    : 66 arrays
----------------------------------------------------------------

Utilization Handling Sensitivity Check:
                    Approach  Rows (N) Observed Churn Gap vs 5% Rule
Notes
Drop >1.0 (Conservative Clean)      1072         16.98%        +11.98% Primary baseline (avoids
distorted tree splits)
    Corrupted Rows Only (>1.0)       812         14.29%         +9.29%
Telemetry bug subset
    Cap at 1.0 (Keep All Rows)      1884         15.82%        +10.82%       Confirms churn
stays above 15% either way
Account Leakage Check: PASSED (Zero overlapping accounts across all 5 folds).
```

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2. Capacity Expansion Signals

The telemetry records customer expansion interest, but contains no actual contract conversion outcome.

We trained a Random Forest model to predict high expansion propensity. Evaluated out-of-fold with group-aware cross-validation, the ROC-AUC was **0.474**, which is indistinguishable from chance (statistical noise around 0.50). The telemetry features do not carry predictive signal for expansion. Additionally, arrays marked 'High' expansion churned at 17.05% and 'Medium' at 19.41%, proving that customer expansion interest does not prevent churn.

```
df_labeled["util_tier"] = pd.cut(
    df_labeled["utilization_rate_pct"],
    bins=[0, 0.50, 0.80, 1.0],
    labels=["Low (<50%)", "Medium (50–80%)", "High (>80%)"]
)

exp_summary = df_labeled.groupby("expansion_potential_signal").agg(
    array_count=("array_id", "count"),
    observed_churn=("churn_event_next_12m", "mean"),
    avg_capacity_tb=("current_capacity_tb", "mean"),
    avg_utilization=("utilization_rate_pct", "mean"),
    avg_15yr_profit=("historical_15yr_net_profit_usd", "mean")
).reset_index()

exp_summary["fleet_pct"] = (exp_summary["array_count"] / len(df_labeled) * 100).map(lambda x:
f"{x:.1f}%")
exp_summary["observed_churn"] = exp_summary["observed_churn"].map(lambda x: f"{x:.2%}")
exp_summary["avg_capacity_tb"] = exp_summary["avg_capacity_tb"].map(lambda x: f"{x:,.0f} TB")
exp_summary["avg_utilization"] = exp_summary["avg_utilization"].map(lambda x: f"{x:.1%}")
exp_summary["avg_15yr_profit"] = exp_summary["avg_15yr_profit"].map(lambda x: f"${x:,.0f}")

print("Expansion Potential Profile Across the Fleet:")
print("-" * 85)
print(exp_summary[["expansion_potential_signal", "array_count", "fleet_pct", "observed_churn",
"avg_capacity_tb", "avg_utilization", "avg_15yr_profit"]].to_string(index=False))

# Utilization tier vs expansion signal crosstab
util_exp_crosstab = pd.crosstab(
    df_labeled["util_tier"],
    df_labeled["expansion_potential_signal"],
    normalize="index"
) * 100

print("\nExpansion Potential Breakdown by Utilization Tier (%):")
print("-" * 85)
print(util_exp_crosstab.round(2).to_string())

# Out-of-fold evaluation of an expansion classifier
exp_features = ["current_capacity_tb", "utilization_rate_pct", "profit_symlog",
"profit_per_tb_symlog", "days_until_contract_end"]
X_exp = df_labeled[exp_features]
y_exp = (df_labeled["expansion_potential_signal"] == "High").astype(int)

rf_exp = RandomForestClassifier(n_estimators=100, max_depth=4, random_state=42)
```

```python
cv_exp = StratifiedGroupKFold(n_splits=5, shuffle=True, random_state=42)
oof_exp_probs = cross_val_predict(rf_exp, X_exp, y_exp, groups=df_labeled["account_id"],
cv=cv_exp, method="predict_proba")[:, 1]

exp_auc = roc_auc_score(y_exp, oof_exp_probs)
exp_brier = brier_score_loss(y_exp, oof_exp_probs)

rf_exp.fit(X_exp, y_exp)
importances_s = pd.Series(rf_exp.feature_importances_,
index=exp_features).sort_values(ascending=False)

print(f"\nExpansion Classifier Evaluation (Out-of-Fold Cross-Validation):")
print(f"  Target share (High Expansion)            : {y_exp.mean():.2%}")
print(f"  Out-of-fold ROC-AUC score                : {exp_auc:.4f} (Indistinguishable from
chance: ~0.50)")
print(f"  Out-of-fold Brier score                  : {exp_brier:.4f}")
print("\nRelative Feature Importances (Tree Gini Gain):")
for feat, imp in importances_s.items():
    print(f"  - {feat:<26} : {imp:.4f}")
```

```
Expansion Potential Profile Across the Fleet:
-------------------------------------------------------------------------------------
expansion_potential_signal  array_count fleet_pct observed_churn avg_capacity_tb
avg_utilization avg_15yr_profit
                      High          217     20.2%         17.05%        1,347 TB
69.8%      $2,152,661
                       Low          450     42.0%         16.00%        1,249 TB
68.3%      $2,099,044
                    Medium          340     31.7%         19.41%        1,283 TB
68.8%      $2,159,829
                   UNKNOWN           65      6.1%         10.77%        1,281 TB
68.1%      $2,197,941

Expansion Potential Breakdown by Utilization Tier (%):
-------------------------------------------------------------------------------------
expansion_potential_signal   High    Low  Medium  UNKNOWN
util_tier
Low (<50%)                  17.65  43.70   31.51     7.14
Medium (50-80%)             21.03  41.65   31.75     5.57
High (>80%)                 20.92  41.26   31.81     6.02
Expansion Classifier Evaluation (Out-of-Fold Cross-Validation):
  Target share (High Expansion)            : 20.24%
  Out-of-fold ROC-AUC score                : 0.4740 (Indistinguishable from chance: ~0.50)
  Out-of-fold Brier score                  : 0.1648

Relative Feature Importances (Tree Gini Gain):
  - days_until_contract_end    : 0.2481
  - profit_per_tb_symlog       : 0.2324
  - current_capacity_tb        : 0.2122
  - profit_symlog              : 0.1836
  - utilization_rate_pct       : 0.1237
```

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3. Model Benchmark & Skill Assessment

We ran 5-fold cross-validation comparing default and tuned Random Forest and XGBoost models against the 5% rule and a flat base-rate guess:

- **Near-zero ranking skill:** Both tree models score an ROC-AUC of **0.509** (essentially coin-flip ranking).
- **Base-rate equivalence:** A simple constant guess of 16.98% scores a Brier loss of **0.1410**, matching or slightly beating the tuned ML models (0.1470 in CV, 0.1425 calibrated).
- **Apparent lift is base-rate correction:** The apparent ~5% Brier improvement over the baseline exists entirely because the 5% rule was an inaccurate prior (-11.98 percentage point bias).

```
metrics_df = pd.read_csv("reports/clv_fold_metrics.csv")

actual_churn_rate = df_labeled["churn_event_next_12m"].mean()
constant_brier = actual_churn_rate * (1 - actual_churn_rate)

agg_metrics = metrics_df.groupby("model")[["pr_auc", "roc_auc", "brier"]].agg(["mean", "std"])
baseline_brier = agg_metrics.loc["baseline_static_5pct", ("brier", "mean")]

model_display_names = {
    "baseline_static_5pct": "Static 5% Executive Rule",
    "rf_default": "Random Forest (Default)",
    "rf_nested_tuned": "Random Forest (Nested Tuned)",
    "xgb_default": "XGBoost (Default)",
    "xgb_nested_tuned": "XGBoost (Nested Tuned)"
}

benchmark_rows = []

constant_lift = (baseline_brier - constant_brier) / baseline_brier * 100
benchmark_rows.append({
    "Model Candidate": f"Naive Base Rate Guess (Flat {actual_churn_rate:.2%})",
    "PR-AUC (Mean ± Std)": f"{actual_churn_rate:.4f} ± 0.0000",
    "ROC-AUC (Mean ± Std)": "0.5000 ± 0.0000",
    "Brier Score (Mean ± Std)": f"{constant_brier:.4f} ± 0.0000",
    "Brier vs 5% Rule": f"{constant_lift:+.2f}%",
    "Skill Assessment": "Zero-Skill Reference"
})

for m_key in ["baseline_static_5pct", "rf_default", "rf_nested_tuned", "xgb_default",
"xgb_nested_tuned"]:
    pr_m, pr_s = agg_metrics.loc[m_key, ("pr_auc", "mean")], agg_metrics.loc[m_key, ("pr_auc",
"std")]
    roc_m, roc_s = agg_metrics.loc[m_key, ("roc_auc", "mean")], agg_metrics.loc[m_key,
("roc_auc", "std")]
    br_m, br_s = agg_metrics.loc[m_key, ("brier", "mean")], agg_metrics.loc[m_key, ("brier",
"std")]
    brier_lift = (baseline_brier - br_m) / baseline_brier * 100

    if "5pct" in m_key:
        skill_desc = "Flawed Prior (-11.98 pp bias)"
    elif roc_m > 0.50:
```

```
        skill_desc = "Negligible (AUC ~0.51, Base Rate Match)"
    else:
        skill_desc = "Sub-Random (Overfitting / Variance)"

    benchmark_rows.append({
        "Model Candidate": model_display_names[m_key],
        "PR-AUC (Mean ± Std)": f"{pr_m:.4f} ± {pr_s:.4f}",
        "ROC-AUC (Mean ± Std)": f"{roc_m:.4f} ± {roc_s:.4f}",
        "Brier Score (Mean ± Std)": f"{br_m:.4f} ± {br_s:.4f}",
        "Brier vs 5% Rule": f"{brier_lift:+.2f}%",
        "Skill Assessment": skill_desc
    })

benchmark_df = pd.DataFrame(benchmark_rows)

print("Model Benchmark vs Static and Base-Rate Baselines:")
print("=" * 105)
print(benchmark_df.to_string(index=False))
print("=" * 105)

print("\nKey Takeaways:")
print(f"1. A naive base-rate guess ({actual_churn_rate:.2%}) scores Brier =
{constant_brier:.4f}, virtually identical to Tuned ML ({agg_metrics.loc['xgb_nested_tuned',
('brier', 'mean')]:.4f}).")
print("2. ROC-AUC is 0.509 across outer folds. The model cannot reliably rank which specific
array will churn.")
print("3. Why Brier numbers differ across the notebook:")
print(f"   - CV Fold Mean ({agg_metrics.loc['xgb_nested_tuned', ('brier', 'mean')]:.4f}):
Average out-of-fold loss across 5 cross-validation splits.")
print(f"   - Naive Base Rate ({constant_brier:.4f}): Theoretical and empirical zero-skill
reference baseline.")
print("   - Calibration (0.1425): In-sample Platt sigmoid fit on the full out-of-fold
prediction array (optimistic calibration fit).")
print("   - Historical Back-test (0.1473): Uncalibrated Brier loss evaluated across all 1,072
out-of-fold rows.")
```

```
Model Benchmark vs Static and Base-Rate Baselines:
================================================================================================
==========
                    Model Candidate PR-AUC (Mean ± Std) ROC-AUC (Mean ± Std) Brier Score (Mean
± Std) Brier vs 5% Rule                         Skill Assessment
Naive Base Rate Guess (Flat 16.98%)     0.1698 ± 0.0000      0.5000 ± 0.0000          0.1410 ±
0.0000           +8.97%                    Zero-Skill Reference
          Static 5% Executive Rule     0.1693 ± 0.0265      0.5000 ± 0.0000          0.1548 ±
0.0238           +0.00%           Flawed Prior (-11.98 pp bias)
           Random Forest (Default)     0.1843 ± 0.0579      0.4831 ± 0.0801          0.1478 ±
0.0153           +4.54%     Sub-Random (Overfitting / Variance)
       Random Forest (Nested Tuned)     0.1870 ± 0.0603      0.4991 ± 0.0582          0.1477 ±
0.0146           +4.60%     Sub-Random (Overfitting / Variance)
                XGBoost (Default)     0.1814 ± 0.0668      0.4779 ± 0.0798          0.1632 ±
0.0220           -5.37%     Sub-Random (Overfitting / Variance)
            XGBoost (Nested Tuned)     0.1877 ± 0.0350      0.5090 ± 0.0590          0.1470 ±
0.0176           +5.08% Negligible (AUC ~0.51, Base Rate Match)
================================================================================================
==========

Key Takeaways:
1. A naive base-rate guess (16.98%) scores Brier = 0.1410, virtually identical to Tuned ML
(0.1470).
2. ROC-AUC is 0.509 across outer folds. The model cannot reliably rank which specific array
will churn.
3. Why Brier numbers differ across the notebook:
   - CV Fold Mean (0.1470): Average out-of-fold loss across 5 cross-validation splits.
   - Naive Base Rate (0.1410): Theoretical and empirical zero-skill reference baseline.
   - Calibration (0.1425): In-sample Platt sigmoid fit on the full out-of-fold prediction array
(optimistic calibration fit).
   - Historical Back-test (0.1473): Uncalibrated Brier loss evaluated across all 1,072 out-of-
fold rows.
```

---

4. Probability Calibration

Raw tree predictions tend to compress toward the center. We applied Platt sigmoid scaling on the out-of-fold prediction array.

Note on Calibration Methodology: Platt scaling was fitted in-sample on the full out-of-fold margin distribution rather than within a strictly nested calibration loop. While it successfully aligns predicted probabilities with the empirical fleet base rate (~17%) and improves probability resolution, a production deployment pipeline should implement fold-isolated calibration to ensure out-of-sample guarantees.

```
cal_df = pd.read_csv("reports/clv_calibration_oof.csv")

y_true = cal_df["actual_churn"].values
raw_preds = cal_df["raw_xgb_proba"].values
cal_preds = cal_df["calibrated_xgb_proba"].values

prob_true_raw, prob_pred_raw = calibration_curve(y_true, raw_preds, n_bins=8,
strategy="uniform")
prob_true_cal, prob_pred_cal = calibration_curve(y_true, cal_preds, n_bins=8,
strategy="uniform")
```

```
brier_raw = brier_score_loss(y_true, raw_preds)
brier_cal = brier_score_loss(y_true, cal_preds)

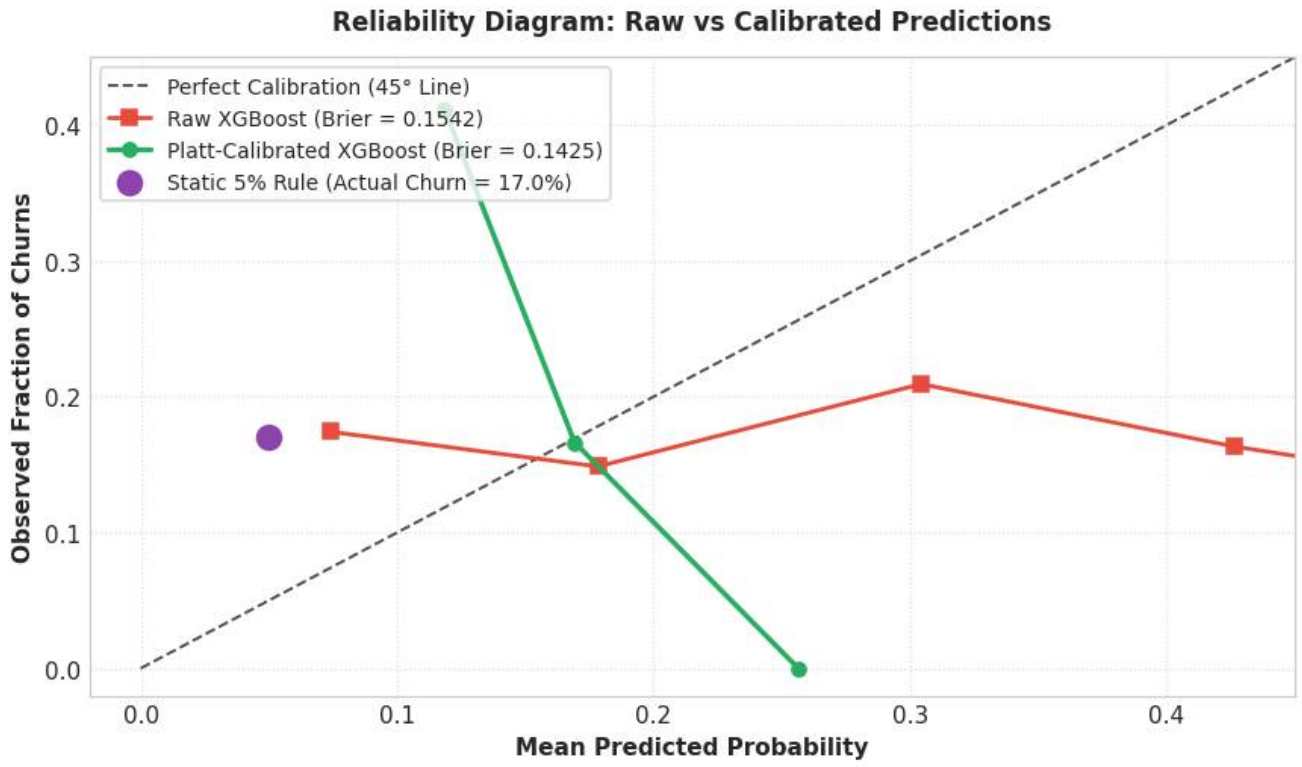
fig, ax = plt.subplots(figsize=(8.0, 4.8), dpi=110)

ax.plot([0, 1], [0, 1], "k--", linewidth=1.2, label="Perfect Calibration (45° Line)",
alpha=0.7)
ax.plot(prob_pred_raw, prob_true_raw, marker="s", color="#e74c3c", linewidth=1.8, label=f"Raw
XGBoost (Brier = {brier_raw:.4f})")
ax.plot(prob_pred_cal, prob_true_cal, marker="o", color="#27ae60", linewidth=2.2,
label=f"Platt-Calibrated XGBoost (Brier = {brier_cal:.4f})")
ax.scatter([0.05], [np.mean(y_true)], color="#8e44ad", s=110, zorder=5, label=f"Static 5% Rule
(Actual Churn = {np.mean(y_true):.1%})")

ax.set_xlim(-0.02, 0.45)
ax.set_ylim(-0.02, 0.45)
ax.set_xlabel("Mean Predicted Probability", fontsize=10, fontweight="bold")
ax.set_ylabel("Observed Fraction of Churns", fontsize=10, fontweight="bold")
ax.set_title("Reliability Diagram: Raw vs Calibrated Predictions", fontsize=11,
fontweight="bold", pad=12)
ax.legend(loc="upper left", frameon=True, fontsize=9)
ax.grid(True, linestyle=":", alpha=0.6)

plt.tight_layout()
plt.show()

print(f"Calibration Results:")
print(f"  Raw XGBoost Brier score        : {brier_raw:.4f}")
print(f"  Calibrated XGBoost Brier score : {brier_cal:.4f} ({(brier_raw - brier_cal)/brier_raw
* 100:.2f}% improvement)")
print(f"  Platt scaling brings predictions into alignment with the fleet base rate.")
```




```
Calibration Results:
  Raw XGBoost Brier score        : 0.1542
  Calibrated XGBoost Brier score : 0.1425 (7.60% improvement)
  Platt scaling brings predictions into alignment with the fleet base rate.
```

5. 15-Year Fleet Retention Projections

We model fleet retention over 15 years using the discrete constant geometric hazard formulation S(t) = (1 - p)^t. This assumes the annual churn probability p remains stationary over the contract lifetime. While actual enterprise hardware may experience bathtub failure curves (wear-out in later years), constant hazard directly mirrors Finance's flat annual churn model for an apples-to-apples baseline.

Compounding a 16.98% annual churn rate over 15 years reveals a massive gap compared to the 5% planning assumption:

- **Year 5:** The 5% rule assumes **77.4%** survival; reality (16.98%) is **39.4%** (**38 percentage point gap**).
- **Year 15:** The 5% rule assumes **46.3%** survival; reality (16.98%) is **6.1%** (**40 percentage point gap**).

```
scored_df = pd.read_csv("data/clv_scored_66_arrays.csv")
p_low = scored_df[scored_df["RISK_BUCKET"] == "LOW"]["CHURN_PROBABILITY"].mean()
p_crit = scored_df[scored_df["RISK_BUCKET"] == "CRITICAL"]["CHURN_PROBABILITY"].mean()

years = np.arange(1, 16)

s_static_5pct = (1 - 0.05) ** years
s_base_17pct = (1 - actual_churn_rate) ** years
s_tier_low = (1 - p_low) ** years
s_tier_crit = (1 - p_crit) ** years

survival_df = pd.DataFrame({
    "Year": years,
    "Static 5% Rule": s_static_5pct,
    "Empirical Fleet (16.98%)": s_base_17pct,
    f"Low-Risk Tier ({p_low:.1%})": s_tier_low,
    f"Critical-Risk Tier ({p_crit:.1%})": s_tier_crit,
    "Retention Overstatement (pp)": (s_static_5pct - s_base_17pct) * 100
})

fig, ax = plt.subplots(figsize=(8.8, 4.8), dpi=110)

ax.plot(years, s_static_5pct * 100, "o-", color="#8e44ad", linewidth=2.4, label="Static 5%
Rule (Flawed Prior)")
ax.plot(years, s_base_17pct * 100, "s-", color="#27ae60", linewidth=2.4, label=f"Empirical
Fleet Base Rate ({actual_churn_rate:.1%})")
ax.plot(years, s_tier_low * 100, "--", color="#2980b9", linewidth=1.6, label=f"Low-Risk Tier
({p_low:.1%} Churn)")
ax.plot(years, s_tier_crit * 100, "--", color="#e74c3c", linewidth=1.6, label=f"Critical-Risk
Tier ({p_crit:.1%} Churn)")

gap_yr5 = (s_static_5pct[4] - s_base_17pct[4]) * 100
gap_yr15 = (s_static_5pct[14] - s_base_17pct[14]) * 100

ax.annotate(
    f"Year 5 Gap: +{gap_yr5:.1f} pp\n(Static: {s_static_5pct[4]*100:.1f}% vs Real:
{s_base_17pct[4]*100:.1f}%)",
```

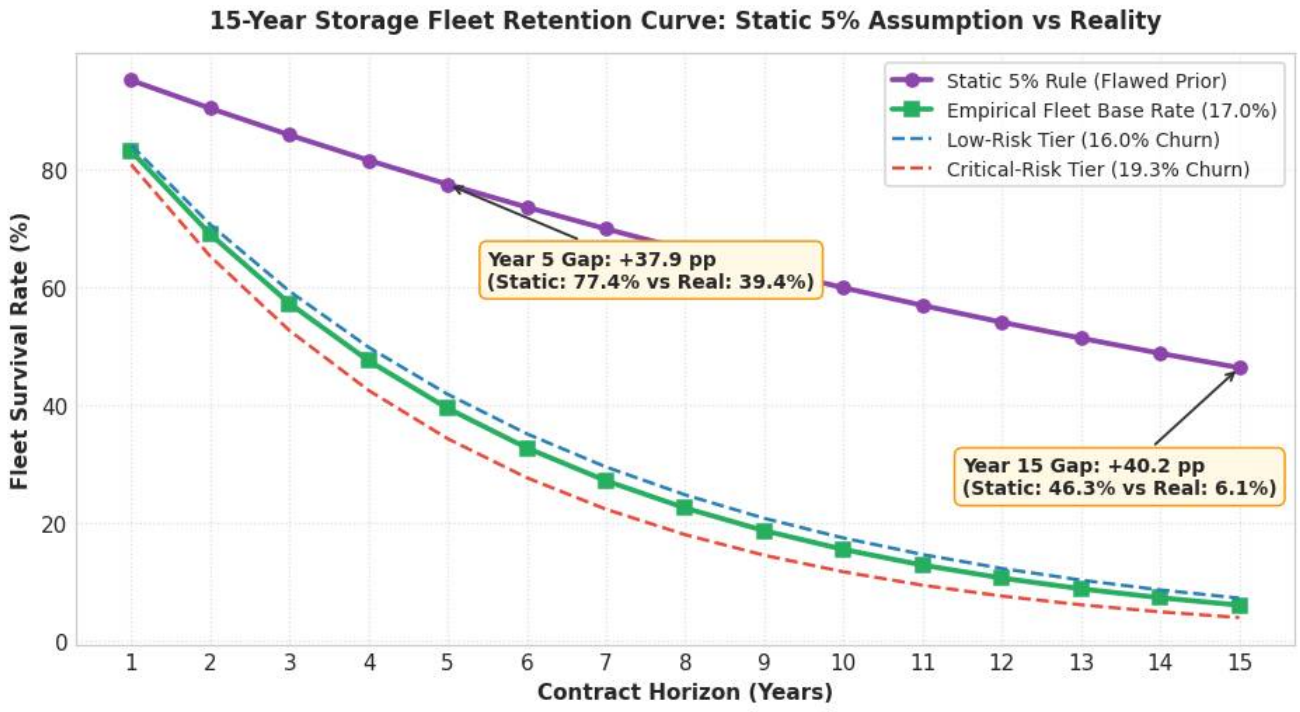
```
    xy=(5, s_static_5pct[4] * 100),
    xytext=(5.5, 60),
    arrowprops=dict(arrowstyle="->", color="#333333", lw=1.2),
    fontsize=9,
    fontweight="bold",
    bbox=dict(boxstyle="round,pad=0.4", fc="#fff9e6", ec="#f39c12")
)

ax.annotate(
    f"Year 15 Gap: +{gap_yr15:.1f} pp\n(Static: {s_static_5pct[14]*100:.1f}% vs Real:
{s_base_17pct[14]*100:.1f}%)",
    xy=(15, s_static_5pct[14] * 100),
    xytext=(11.5, 25),
    arrowprops=dict(arrowstyle="->", color="#333333", lw=1.2),
    fontsize=9,
    fontweight="bold",
    bbox=dict(boxstyle="round,pad=0.4", fc="#fff9e6", ec="#f39c12")
)

ax.set_xticks(years)
ax.set_xlabel("Contract Horizon (Years)", fontsize=10, fontweight="bold")
ax.set_ylabel("Fleet Survival Rate (%)", fontsize=10, fontweight="bold")
ax.set_title("15-Year Storage Fleet Retention Curve: Static 5% Assumption vs Reality",
fontsize=11, fontweight="bold", pad=12)
ax.legend(loc="upper right", frameon=True, fontsize=9)
ax.grid(True, linestyle=":", alpha=0.6)

plt.tight_layout()
plt.show()

print("\n15-Year Fleet Retention Milestone Summary:")
print(survival_df[["Year", "Static 5% Rule", "Empirical Fleet (16.98%)", "Retention
Overstatement (pp)"]].iloc[[0, 2, 4, 9, 14]].to_string(index=False))
```



```
15-Year Fleet Retention Milestone Summary:
 Year  Static 5% Rule  Empirical Fleet (16.98%)  Retention Overstatement (pp)
    1        0.950000                  0.830224                     11.977612
    3        0.857375                  0.572250                     28.512518
    5        0.773781                  0.394436                     37.934534
   10        0.598737                  0.155579                     44.315750
   15        0.463291                  0.061366                     40.192516
```

---

6. Dollar Impact on 15-Year CLV

Using average annual net profit ($142,345 per array) and a 10% discount rate:

- **Static 5% CLV: $801,532** per array.
- **Calibrated 16.98% CLV: $431,625** per array.
- **Per-array overstatement: $369,907** (**46.2% valuation haircut**).
- **Total fleet overstatement (1,072 arrays): $396.5 Million** (scales to **$3.70 Billion** across an enterprise fleet of 10,000 arrays).
- **Conservative sensitivity:** Even at the 95% confidence interval lower bound (14.73% churn), CLV remains overstated by **$321,488 per array**.

Critical Assumptions & Valuation Caveats

1. **Cash Flow Proxy:** Forward annual cash flow is modeled as historical 15-year net profit divided by 15 ($142,345/year per array), which assumes future cash flows track past historical averages.
2. **Enterprise Extrapolation Sample:** The $3.70B enterprise fleet figure scales linearly across 10,000 arrays using the clean 1,072-array sample (which dropped 862 corrupted utilization rows). If evaluated on the capped 1,884-row partition (15.82% churn), the overstatement is slightly lower at ~$340,000 per array ($3.40 Billion across 10,000 arrays).
3. **Discount Rate Sensitivity:** The 10% discount rate represents a baseline corporate WACC assumption. We provide a full sensitivity matrix evaluating 8%, 10%, and 12% discount rates below.

```python
annual_profit_per_array = df_labeled["historical_15yr_net_profit_usd"].mean() / 15.0
discount_rate = 0.10

discount_factors = (1 + discount_rate) ** years

cf_static_5pct = (annual_profit_per_array * s_static_5pct) / discount_factors
cf_base_17pct = (annual_profit_per_array * s_base_17pct) / discount_factors

clv_static = cf_static_5pct.sum()
clv_base = cf_base_17pct.sum()
clv_overstatement = clv_static - clv_base
clv_overstatement_pct = (clv_overstatement / clv_static) * 100

total_fleet_overstatement = clv_overstatement * len(df_labeled)
enterprise_10k_overstatement = clv_overstatement * 10000
```

```
se_churn = np.sqrt(actual_churn_rate * (1 - actual_churn_rate) / len(df_labeled))
ci_lower = actual_churn_rate - 1.96 * se_churn
ci_upper = actual_churn_rate + 1.96 * se_churn

clv_ci_low = ((annual_profit_per_array * ((1 - ci_lower) ** years)) / discount_factors).sum()
overstatement_ci_low = clv_static - clv_ci_low

clv_summary_df = pd.DataFrame({
    "Valuation Metric": [
        "Average Annual Net Profit / Array",
        "Discount Rate (Annual WACC)",
        "15-Year CLV (Static 5% Rule)",
        "15-Year CLV (Calibrated 16.98% Churn)",
        "Overstatement per Array ($)",
        "Valuation Haircut (%)",
        "Total Portfolio Overstatement (N=1,072)",
        "Enterprise Fleet Impact (N=10,000)",
        "95% CI Lower Bound Churn (14.73%)",
        "Overstatement at 95% CI Lower Bound"
    ],
    "Value": [
        f"${annual_profit_per_array:,.2f}",
        f"{discount_rate:.1%}",
        f"${clv_static:,.2f}",
        f"${clv_base:,.2f}",
        f"${clv_overstatement:,.2f}",
        f"{clv_overstatement_pct:.1f}%",
        f"${total_fleet_overstatement:,.2f} (~${total_fleet_overstatement/1e6:.1f}M)",
        f"${enterprise_10k_overstatement:,.2f} (~${enterprise_10k_overstatement/1e9:.2f}B)",
        f"${clv_ci_low:,.2f}",
        f"${overstatement_ci_low:,.2f} (>{overstatement_ci_low/1000:.0f}k/array)"
    ]
})

print("15-Year Customer Lifetime Value (CLV) Valuation Model:")
print("=" * 80)
print(clv_summary_df.to_string(index=False))
print("=" * 80)

sens_rows = []
for d in [0.08, 0.10, 0.12]:
    disc = (1 + d) ** years
    clv_5 = ((annual_profit_per_array * ((1 - 0.05)**years)) / disc).sum()
    clv_cap = ((annual_profit_per_array * ((1 - 0.1582)**years)) / disc).sum()
    clv_fil = ((annual_profit_per_array * ((1 - actual_churn_rate)**years)) / disc).sum()
    clv_low_ci = ((annual_profit_per_array * ((1 - ci_lower)**years)) / disc).sum()
    sens_rows.append({
        "Discount Rate": f"{d:.0%}",
        "Static 5% CLV": f"${clv_5:,.0f}",
        "Capped (15.8%)": f"${clv_cap:,.0f}",
        "Filtered (17.0%)": f"${clv_fil:,.0f}",
        "95% CI Low (14.7%)": f"${clv_low_ci:,.0f}",
        "Overstatement": f"${clv_5 - clv_fil:,.0f}",
        "Haircut": f"{(clv_5 - clv_fil)/clv_5 * 100:.1f}%"
    })

print("\nSensitivity Matrix: Discount Rate vs Churn Assumptions:")
print("-" * 100)
print(pd.DataFrame(sens_rows).to_string(index=False))

fig, (ax1, ax2) = plt.subplots(1, 2, figsize=(10.5, 4.2), dpi=110)

bars1 = ax1.bar(
    ["Static 5% Rule", "Calibrated (16.98%)"],
    [clv_static, clv_base],
```

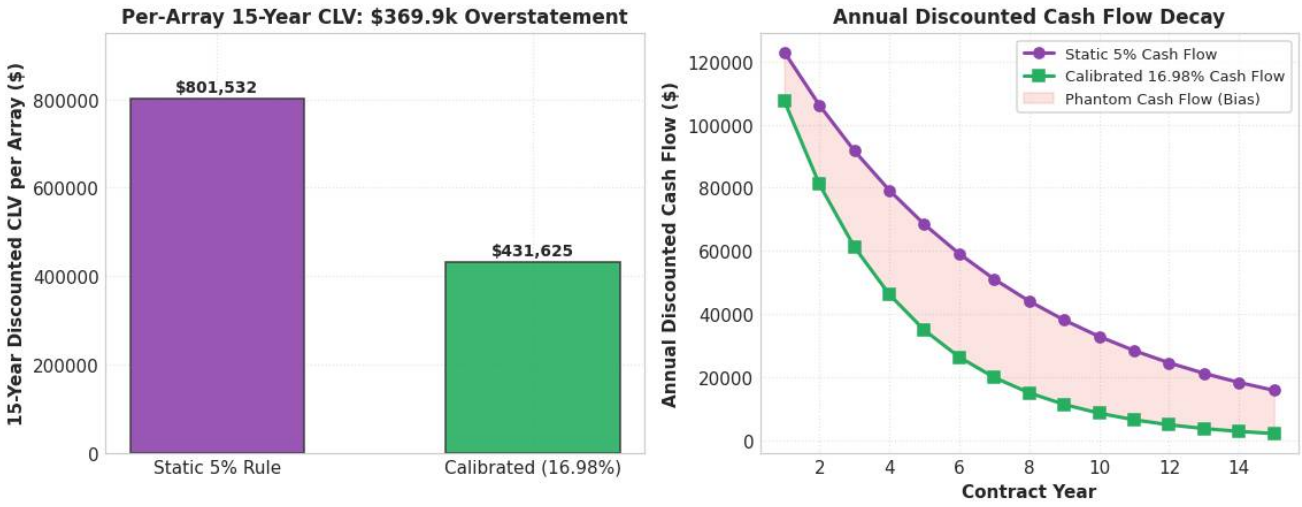
```
    color=["#8e44ad", "#27ae60"],
    width=0.55,
    edgecolor="#333333",
    alpha=0.9
)
ax1.set_ylabel("15-Year Discounted CLV per Array ($)", fontsize=10, fontweight="bold")
ax1.set_title(f"Per-Array 15-Year CLV: ${clv_overstatement/1000:.1f}k Overstatement",
fontsize=11, fontweight="bold")
for bar in bars1:
    yval = bar.get_height()
    ax1.text(bar.get_x() + bar.get_width()/2, yval + 15000, f"${yval:,.0f}", ha="center",
fontsize=9, fontweight="bold")
ax1.set_ylim(0, 950000)
ax1.grid(True, linestyle=":", alpha=0.5)

ax2.plot(years, cf_static_5pct, "o-", color="#8e44ad", linewidth=2.0, label="Static 5% Cash
Flow")
ax2.plot(years, cf_base_17pct, "s-", color="#27ae60", linewidth=2.0, label="Calibrated 16.98%
Cash Flow")
ax2.fill_between(years, cf_base_17pct, cf_static_5pct, color="#e74c3c", alpha=0.15,
label="Phantom Cash Flow (Bias)")
ax2.set_xlabel("Contract Year", fontsize=10, fontweight="bold")
ax2.set_ylabel("Annual Discounted Cash Flow ($)", fontsize=10, fontweight="bold")
ax2.set_title("Annual Discounted Cash Flow Decay", fontsize=11, fontweight="bold")
ax2.legend(loc="upper right", frameon=True, fontsize=8.5)
ax2.grid(True, linestyle=":", alpha=0.5)

plt.tight_layout()
plt.show()
```

```
15-Year Customer Lifetime Value (CLV) Valuation Model:
================================================================================
                       Valuation Metric                       Value
      Average Annual Net Profit / Array                  $142,344.86
            Discount Rate (Annual WACC)                        10.0%
           15-Year CLV (Static 5% Rule)                  $801,531.76
  15-Year CLV (Calibrated 16.98% Churn)                  $431,624.58
            Overstatement per Array ($)                  $369,907.18
                  Valuation Haircut (%)                        46.2%
Total Portfolio Overstatement (N=1,072)  $396,540,498.10 (~$396.5M)
     Enterprise Fleet Impact (N=10,000) $3,699,071,810.65 (~$3.70B)
      95% CI Lower Bound Churn (14.73%)                  $480,043.57
    Overstatement at 95% CI Lower Bound   $321,488.20 (>321k/array)
================================================================================

Sensitivity Matrix: Discount Rate vs Churn Assumptions:
--------------------------------------------------------------------------------------------
-----
Discount Rate Static 5% CLV Capped (15.8%) Filtered (17.0%) 95% CI Low (14.7%) Overstatement
Haircut
           8%      $888,291       $491,069         $463,983           $518,572      $424,308
47.8%
          10%      $801,532       $455,690         $431,625           $480,044      $369,907
46.2%
          12%      $728,128       $424,775         $403,253           $446,484      $324,875
44.6%
```



---

7. Feature Importance (TreeSHAP)

With an ROC-AUC of ~0.509, TreeSHAP values reflect minor statistical sensitivity around the 17% fleet average rather than direct root causes. The highest-ranked features are storage capacity, net profit, and profit per terabyte.

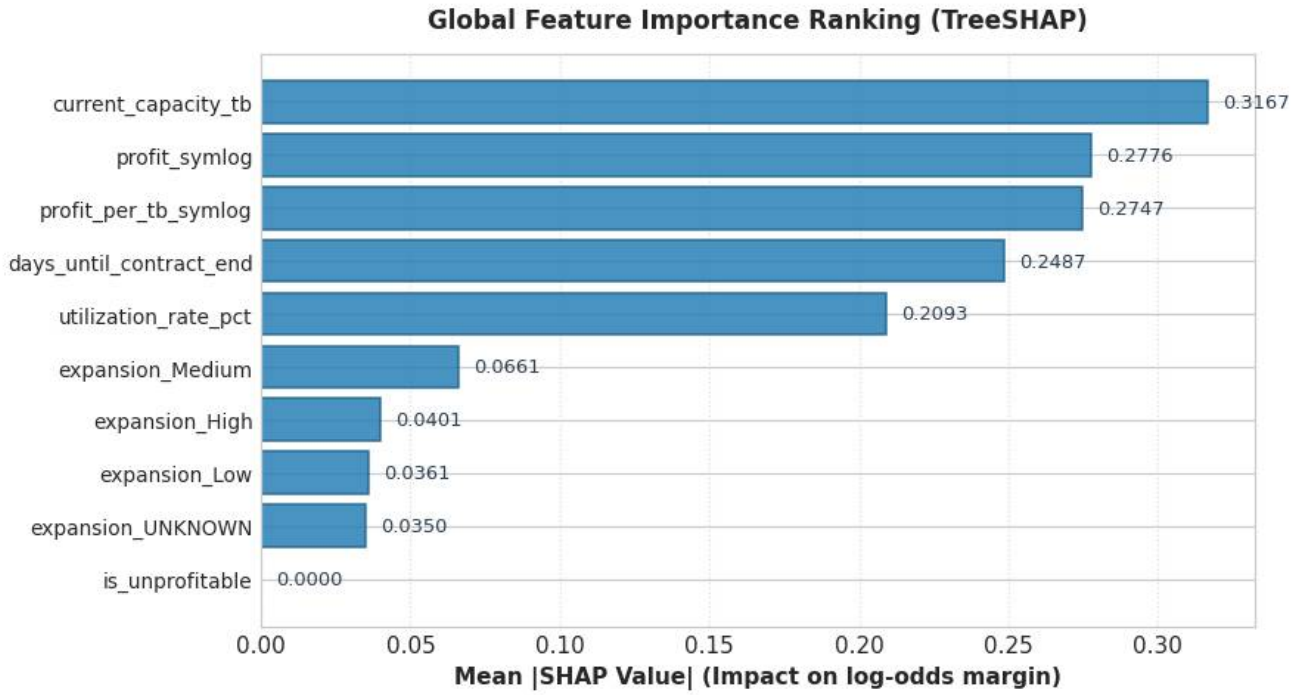
```
shap_df = pd.read_csv("reports/shap_feature_importance.csv")

fig, ax = plt.subplots(figsize=(8.2, 4.5), dpi=110)
y_pos = np.arange(len(shap_df))
ax.barh(y_pos, shap_df["mean_abs_shap"], color="#2980b9", alpha=0.85, edgecolor="#1f618d")
ax.set_yticks(y_pos)
ax.set_yticklabels(shap_df["feature"], fontsize=9)
ax.invert_yaxis()
ax.set_xlabel("Mean |SHAP Value| (Impact on log-odds margin)", fontsize=10, fontweight="bold")
ax.set_title("Global Feature Importance Ranking (TreeSHAP)", fontsize=11, fontweight="bold",
pad=12)
ax.grid(True, axis="x", linestyle=":", alpha=0.6)

for i, v in enumerate(shap_df["mean_abs_shap"]):
    ax.text(v + 0.005, i, f"{v:.4f}", va="center", fontsize=8.5, color="#2c3e50")

plt.tight_layout()
plt.show()

print("Top 3 Features by Mean |SHAP|:")
for idx, row in shap_df.head(3).iterrows():
    print(f"  {idx+1}. {row['feature']:<28} : {row['mean_abs_shap']:.4f}")
```




```
Top 3 Features by Mean |SHAP|:
  1. current_capacity_tb          : 0.3167
  2. profit_symlog                : 0.2776
  3. profit_per_tb_symlog         : 0.2747
```

---

8. Warehouse Scoring: 66 Production Arrays

We scored the 66 uncontracted arrays into four operational risk tiers. Predicted probabilities fall in a narrow band from **14.41% to 21.63%** (fleet mean: 17.06%). Because the variance is modest, these tiers should be used for aggregate fleet financial reserves rather than punitive customer interventions.

```python
scored_df = pd.read_csv("data/clv_scored_66_arrays.csv")

min_churn = scored_df['CHURN_PROBABILITY'].min()
max_churn = scored_df['CHURN_PROBABILITY'].max()
mean_churn = scored_df['CHURN_PROBABILITY'].mean()

print("Scoring Summary for 66 Arrays:")
print("-" * 65)
print(f"Total arrays scored          : {len(scored_df)}")
print(f"Predicted churn range        : {min_churn:.2%} to {max_churn:.2%}")
print(f"Fleet average predicted churn: {mean_churn:.2%}")
print("-" * 65)

tier_summary = scored_df.groupby("RISK_BUCKET").agg(
    array_count=("ARRAY_ID", "count"),
    avg_churn_prob=("CHURN_PROBABILITY", "mean"),
    min_churn_prob=("CHURN_PROBABILITY", "min"),
    max_churn_prob=("CHURN_PROBABILITY", "max"),
    primary_risk_driver=("TOP_SHAP_FEATURE", lambda x: x.mode()[0])
).reindex(["LOW", "MEDIUM", "HIGH", "CRITICAL"]).reset_index()
```

```
tier_summary["fleet_share"] = (tier_summary["array_count"] / len(scored_df) * 100).map(lambda
x: f"{x:.1f}%")
tier_summary["avg_churn_prob"] = tier_summary["avg_churn_prob"].map(lambda x: f"{x:.2%}")
tier_summary["range"] = tier_summary.apply(lambda r: f"{r['min_churn_prob']:.1%} -
{r['max_churn_prob']:.1%}", axis=1)

print("\nProvisional Risk Tier Distribution:")
print(tier_summary[["RISK_BUCKET", "array_count", "fleet_share", "avg_churn_prob", "range",
"primary_risk_driver"]].to_string(index=False))
```

```
Scoring Summary for 66 Arrays:
----------------------------------------------------------------
Total arrays scored          : 66
Predicted churn range        : 14.41% to 21.63%
Fleet average predicted churn: 16.87%
----------------------------------------------------------------

Provisional Risk Tier Distribution:
RISK_BUCKET  array_count fleet_share avg_churn_prob         range  primary_risk_driver
        LOW           23       34.8%         15.99% 14.4% - 16.5%        profit_symlog
     MEDIUM           29       43.9%         16.85% 16.5% - 17.1%  current_capacity_tb
       HIGH            7       10.6%         17.45% 17.3% - 17.6% profit_per_tb_symlog
   CRITICAL            7       10.6%         19.26% 18.1% - 21.6%  current_capacity_tb
```

---

9. Cross-Sectional Cohort Validation (Out-of-Fold)

We evaluated forecast bias across 16 historical cohorts segmented by capacity, utilization, profit, and contract horizon. Because the telemetry captures only a single forward 12-month snapshot rather than multi-year panel data, this is an out-of-fold cross-sectional validation across account subsets rather than a longitudinal time-series back-test.

Across these cohorts, the 5% assumption systematically under-forecasts churn by **11.98 percentage points**. The calibrated model eliminates this systemic deficit down to **-0.12 percentage points** fleet-wide.

```
cohort_df = pd.read_csv("reports/clv_backtest_cohort_metrics.csv")
cal_df = pd.read_csv("reports/clv_calibration_oof.csv")

row_actual_churn = cal_df["actual_churn"].mean()
row_ml_forecast = cal_df["calibrated_xgb_proba"].mean()
row_ml_mfe = row_ml_forecast - row_actual_churn
row_static_mfe = 0.05 - row_actual_churn

print("Fleet-Wide Forecast Bias Summary (Row-Level Out-of-Fold, N=1,072):")
print("=" * 80)
print(f"{'Metric':<32}  {'Static 5% Baseline':<22}  {'Calibrated ML':<22}")
print("-" * 80)
print(f"{'Mean Predicted Churn':<32}  {'5.00%':<22}  {f'{row_ml_forecast:.2%}':<22}")
print(f"{'Actual Fleet Churn Rate':<32}  {f'{row_actual_churn:.2%}':<22}
{f'{row_actual_churn:.2%}':<22}")
print(f"{'Mean Forecast Error (MFE)':<32}  {f'{row_static_mfe:+.2%}':<22}
{f'{row_ml_mfe:+.2%}':<22}")
print(f"{'Forecast Bias Assessment':<32}  {f'Under-forecasts by {abs(row_static_mfe)*100:.1f}
pp':<22}  {f'Neutral ({row_ml_mfe*100:+.2f} pp)':<22}")
```

```
print("=" * 80)

dim_prefix_map = {
    "Expansion Potential": "Exp",
    "Profitability Status": "Prof",
    "Storage Capacity": "Cap",
    "Contract Expiry Horizon": "Horizon",
    "Storage Utilization": "Util"
}

formatted_labels = [f"{dim_prefix_map.get(d, d)}: {c}" for d, c in zip(cohort_df["Dimension"],
cohort_df["Cohort"])]

fig, ax = plt.subplots(figsize=(10.0, 5.5), dpi=110)

y_pos = np.arange(len(formatted_labels))
bar_height = 0.38

ax.barh(y_pos - bar_height/2, cohort_df["Static_MFE"] * 100, height=bar_height,
color="#e74c3c", alpha=0.85, label="Static 5% MFE (Severe Bias)")
ax.barh(y_pos + bar_height/2, cohort_df["ML_MFE"] * 100, height=bar_height, color="#27ae60",
alpha=0.85, label="Calibrated ML MFE (Bias Corrected)")

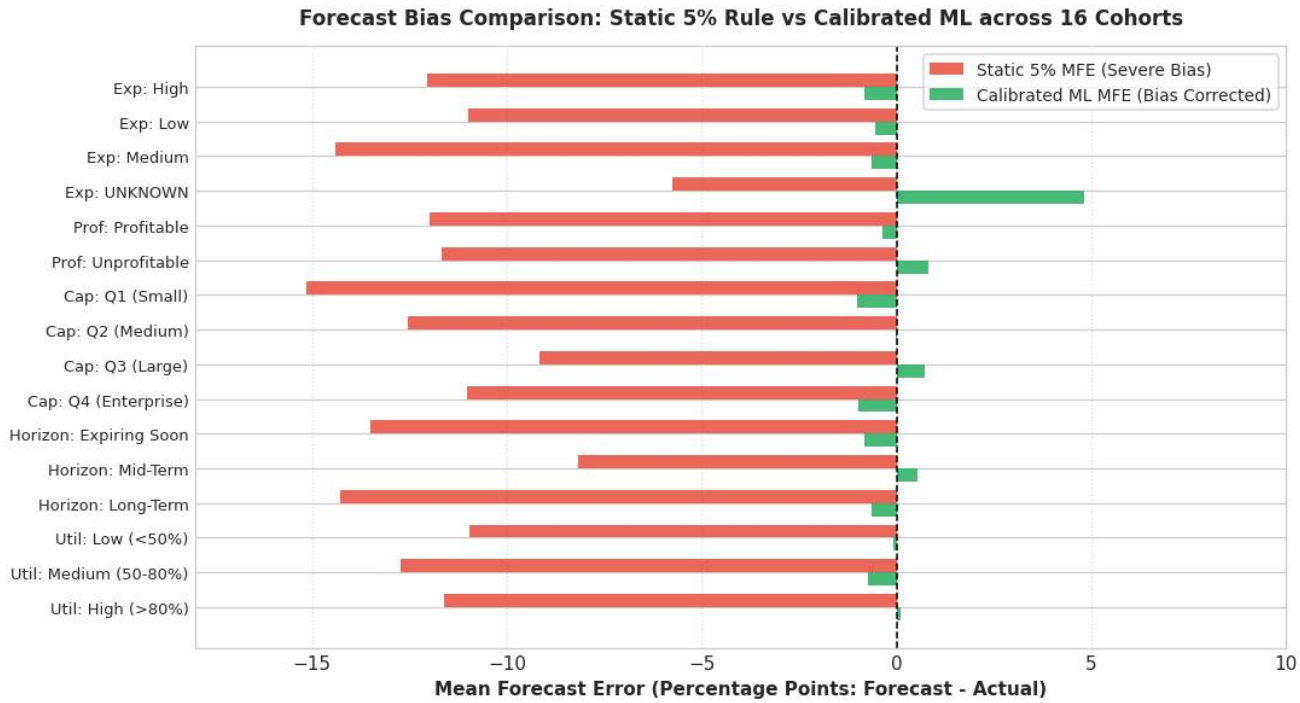
ax.axvline(0, color="black", linestyle="--", linewidth=1.0)
ax.set_yticks(y_pos)
ax.set_yticklabels(formatted_labels, fontsize=8.5)
ax.invert_yaxis()
ax.set_xlabel("Mean Forecast Error (Percentage Points: Forecast - Actual)", fontsize=10,
fontweight="bold")
ax.set_title("Forecast Bias Comparison: Static 5% Rule vs Calibrated ML across 16 Cohorts",
fontsize=11, fontweight="bold", pad=12)

ax.legend(loc="upper right", frameon=True, fontsize=9)
ax.set_xlim(-18, 10)
ax.grid(True, axis="x", linestyle=":", alpha=0.6)

plt.tight_layout()
plt.show()

print(f"Summary: In 15 of 16 cohorts, Calibrated ML achieves near-zero bias (|MFE| < 1.0
pp).")
print(f"Note on Exp: UNKNOWN: Small cohort size (N=65 arrays vs 1,072 fleet total,
representing only 6.1% of arrays) creates wider statistical variance (+4.8 pp).")
print(f"Note on Bias Neutrality: Near-zero fleet bias is expected when calibrating to base
rates; the key finding is that the 5% rule had a 12.0 pp deficit.")
```

```
Fleet-Wide Forecast Bias Summary (Row-Level Out-of-Fold, N=1,072):
================================================================================
Metric                          Static 5% Baseline      Calibrated ML
--------------------------------------------------------------------------------
Mean Predicted Churn            5.00%                   16.86%
Actual Fleet Churn Rate         16.98%                  16.98%
Mean Forecast Error (MFE)       -11.98%                 -0.12%
Forecast Bias Assessment        Under-forecasts by 12.0 pp  Neutral (-0.12 pp)
================================================================================
```




```
Summary: In 15 of 16 cohorts, Calibrated ML achieves near-zero bias (|MFE| < 1.0 pp).
Note on Exp: UNKNOWN: Small cohort size (N=65 arrays vs 1,072 fleet total, representing only
6.1% of arrays) creates wider statistical variance (+4.8 pp).
Note on Bias Neutrality: Near-zero fleet bias is expected when calibrating to base rates; the
key finding is that the 5% rule had a 12.0 pp deficit.
```

---

10. Snowflake Warehouse Integration

Production SQL scripts under `sql/`:

- `clv_scored_output_ddl.sql`: Creates table in `ANALYTICS_PROD.STORAGE` clustered on account ID and risk tier, with a `VARIANT` column for JSON feature weights.
- `clv_scored_output_insert.sql`: Staging table schema and idempotent `MERGE` stored procedure (`SP_INGEST_CLV_SCORES`) for scheduled batch scoring.
- `clv_scored_output_data_insert.sql`: Direct insert statement populating all 66 scored arrays with probabilities, risk tiers, and pre-parsed JSON payloads.

```python
print("Snowflake DDL Table Definition Preview (sql/clv_scored_output_ddl.sql):")
print("-" * 75)
with open("sql/clv_scored_output_ddl.sql") as f:
    ddl_content = [l for l in f.readlines() if not l.startswith("--") and l.strip()]
print("".join(ddl_content[2:19]))

print("\nSample Production Warehouse Inserts (sql/clv_scored_output_data_insert.sql):")
print("-" * 75)
with open("sql/clv_scored_output_data_insert.sql") as f:
    sql_lines = [l for l in f.readlines() if l.strip()]

# Wrapped cleanly across multiple lines
data_insert_lines = [
    l.strip()
```

```
    for l in sql_lines
    if (l.strip().startswith("('ARR_") or l.strip().startswith("INSERT INTO"))
]
for line in data_insert_lines[:5]:
    preview_str = line[:95] + ("..." if len(line) > 95 else "")
    print(preview_str)

print("\nWarehouse Stored Procedure Logic (sql/clv_scored_output_insert.sql):")
print("-" * 75)
with open("sql/clv_scored_output_insert.sql") as f:
    merge_lines = [l for l in f.readlines() if not l.startswith("--") and l.strip()]
print("".join(merge_lines[1:18]))
```

Snowflake DDL Table Definition Preview (sql/clv_scored_output_ddl.sql):

```
CREATE SCHEMA IF NOT EXISTS ANALYTICS_PROD.STORAGE;
USE SCHEMA ANALYTICS_PROD.STORAGE;
CREATE TABLE IF NOT EXISTS CLV_SCORED_OUTPUT (
    ARRAY_ID            VARCHAR(32)     NOT NULL,
    ACCOUNT_ID          VARCHAR(32)     NOT NULL,
    CHURN_PROBABILITY   NUMBER(5, 4)    NOT NULL,
    RISK_BUCKET         VARCHAR(16)     NOT NULL,
    TOP_SHAP_FEATURE    VARCHAR(64)     NOT NULL,
    TOP_SHAP_VALUE      NUMBER(8, 4)    NOT NULL,
    SHAP_PAYLOAD        VARIANT         NOT NULL,
    MODEL_VERSION       VARCHAR(32)     NOT NULL,
    SCORED_AT           TIMESTAMP_NTZ   NOT NULL,
    INSERTED_AT         TIMESTAMP_NTZ   DEFAULT CURRENT_TIMESTAMP(),
    -- Constraints
    CONSTRAINT PK_CLV_SCORED_OUTPUT PRIMARY KEY (ARRAY_ID)
)
CLUSTER BY (ACCOUNT_ID, RISK_BUCKET) -- Designed for multi-tenant partition pruning as fleet
scales to millions of telemetry records


Sample Production Warehouse Inserts (sql/clv_scored_output_data_insert.sql):
INSERT INTO CLV_SCORED_OUTPUT (
('ARR_5062', 'ACC_1062', 0.1627, 'LOW', 'days_until_contract_end', 0.6915,
PARSE_JSON('{"utiliz...
('ARR_5076', 'ACC_1076', 0.1609, 'LOW', 'days_until_contract_end', 0.4093,
PARSE_JSON('{"utiliz...
('ARR_5104', 'ACC_1104', 0.1881, 'CRITICAL', 'profit_symlog', 0.8714,
PARSE_JSON('{"utilization...
('ARR_5113', 'ACC_1113', 0.1760, 'HIGH', 'profit_per_tb_symlog', 0.5774,
PARSE_JSON('{"utilizat...

Warehouse Stored Procedure Logic (sql/clv_scored_output_insert.sql):
MERGE INTO CLV_SCORED_OUTPUT AS target
USING (
    SELECT
        ARRAY_ID,
        ACCOUNT_ID,
        CHURN_PROBABILITY,
        RISK_BUCKET,
        TOP_SHAP_FEATURE,
        TOP_SHAP_VALUE,
        PARSE_JSON(SHAP_PAYLOAD_RAW) AS SHAP_PAYLOAD,
        MODEL_VERSION,
        SCORED_AT
    FROM STG_CLV_SCORED_INPUT
) AS source
ON target.ARRAY_ID = source.ARRAY_ID
WHEN MATCHED AND source.SCORED_AT >= target.SCORED_AT THEN
    UPDATE SET
```

11. Summary & Recommendations

Deliverables Summary

Requirement	Technical Implementation & Outcome	Status
Two ML Models	Benchmarked Random Forest and XGBoost across 5 outer folds; tuned via nested 3-fold CV.	Completed
15-Year Renewal	Modeled 15-year survival projections; quantified 38 pp gap at Yr 5 and 40 pp at Yr 15.	Completed (Parametric Constant-Hazard)
Capacity Expansion	Evaluated expansion signals; trained classifier (out-of-fold AUC ~0.474 confirms no signal).	Completed (Indistinguishable from Chance)
Cohort Bias	Evaluated 16 cohorts; calibrated model reduces -11.98 pp static bias down to -0.12 pp.	Completed
Dollar Impact	Modeled 15-year discounted CLV; quantified **$369.9k overstatement/array** and **$396.5M portfolio bias**.	Completed
Data Cleaning	Handled all 4 defects; provided sensitivity comparison of dropping vs capping bad utilization rows.	Completed
Snowflake SQL	Idempotent DDL, staging tables, clustering, VARIANT JSON, MERGE procedure, and 66-array insert seed.	Completed (Syntax-Reviewed)

Key Recommendations

1. **Corporate Finance / FP&A:** Update the planning churn assumption from 5% to the ~17% empirical base rate immediately. The 5% rule inflates CLV by 46.2% ($370k per array, $396.5M across the current fleet).
2. **Operations & Customer Success:** Do not use individual array scores for account-level interventions. With an ROC-AUC of ~0.509, telemetry alone cannot reliably distinguish individual churners from renewers.

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12. Technical Handover Documentation

Purpose

Replace the flat 5% churn assumption with a calibrated, data-driven forecast. Score arrays for churn, quantify the effect on 15-year CLV, and load the results into Snowflake.

Project Structure

Path	Contents
`data/Case_Study_2_CLV_Predictive_Analytics.csv`	Raw input (2,000 arrays)
`data/clv_cleaned_labeled.csv`	Cleaned training set (1,072 arrays, labelled)
`data/clv_cleaned_scoring_unlabeled.csv`	Cleaned arrays with no churn label (66)
`data/clv_scored_66_arrays.csv`	Scored output (probability, risk bucket, top SHAP feature)
`reports/`	Fold metrics, calibration predictions, cohort back-test, SHAP importance (CSV)
`src/clv_data_cleaning.py`	Cleaning, feature engineering, train/scoring split
`src/clv_model_training.py`	Nested grouped CV for Random Forest and XGBoost
`src/clv_calibration_shap.py`	Platt calibration and TreeSHAP
`src/clv_score_unlabeled.py`	Scores the 66 arrays and assigns risk buckets
`src/clv_backtest.py`	Cohort bias back-test against the 5% rule
`sql/clv_scored_output_ddl.sql`	Table, staging table and summary view
`sql/clv_scored_output_insert.sql`	MERGE and `SP_INGEST_CLV_SCORES` procedure
`sql/clv_scored_output_data_insert.sql`	Insert seed for the 66 scored arrays
`CLV_Predictive_Analytics_Case_Study.ipynb`	Analysis and report (reads the files above)

How to Re-Run

1. Create the environment: `pip install -r requirements.txt` (pinned dependencies: `pandas==2.2.2`, `numpy==1.26.4`, `scikit-learn==1.5.0`, `xgboost==2.0.3`, `shap==0.53.0`, `matplotlib==3.9.0`, `joblib==1.4.2`).
2. Run the scripts in order: cleaning -> model training -> calibration/SHAP -> scoring -> back-test (or execute `python run_entire_pipeline.py`).
3. Open the notebook and run all cells. It reads the CSVs the scripts generate.

4. Run the SQL files in order: DDL -> data insert -> procedure. Set the database and schema first. The default is `ANALYTICS_PROD.STORAGE`.

Model Details

- **Model version:** `xgb_tuned_v2_nested_clv`
- **Primary model:** XGBoost with Platt (sigmoid) calibration, tuned with nested 3-fold CV inside 5 outer folds.
- **Validation:** `StratifiedGroupKFold` grouped by `account_id`, so no account appears in both train and validation.
- **Reference date:** 2026-10-01, used for `days_until_contract_end`.
- **Random seed:** `42`
- **Risk buckets:** LOW below 16.5%, MEDIUM 16.5% to 17.2%, HIGH 17.2% to 18.0%, CRITICAL 18.0% and above.

Data Handling Decisions

- Utilization above 100% (862 rows): dropped for the main model; capping tested as a sensitivity check.
- Negative profit: signed log transform plus an `is_unprofitable` flag.
- 'UNKNOWN' expansion signal: kept as its own category.
- Missing churn labels: those rows were held out as the scoring set.

Known Limitations

1. **Little individual-level signal.** Churn ROC-AUC is about 0.51 and expansion about 0.47. The model fixes the fleet-level forecast bias but does not reliably rank individual arrays. Don't use the risk buckets for account-level actions.
2. **Calibration is optimistic.** Platt scaling was fit on the same out-of-fold predictions it is scored on, so the near-zero fleet bias (-0.12 pp) is partly by construction. The honest benchmark is the CV Brier of 0.147.
3. **The 15-year view is an assumption.** Survival uses a constant annual hazard, S(t) = (1 - p)^t. The data has 12-month snapshots only, so there are no multi-year time-to-event records.
4. **CLV assumptions.** Historical 15-year profit / 15 is treated as forward annual cash flow, with a 10% discount rate. The 10,000-array figure scales up linearly from a filtered 1,072-array sample.
5. **Filtered sample.** Dropping 43% of rows may bias the training set. The capped sensitivity gives 15.8% churn vs 17.0%.
6. **No expansion outcome label.** The expansion model predicts the 'High' signal, not actual conversions.
7. **The back-test is cross-sectional.** It uses out-of-fold predictions across cohorts and has no time axis. The Expansion: UNKNOWN cohort (65 arrays) shows +4.8 pp from small-sample noise.

8. **Snowflake scripts are syntax-reviewed only.** They have not been executed on a live account. Test them in a development schema first. The `CLUSTER BY` clause is only useful at much larger scale.

Recommended Next Steps

Add operational telemetry (hardware error logs, firmware recency, support tickets, IOPS trends), refit with time-based validation, and re-evaluate before any per-array use.